

NOTE

This is an exemplary valuation case study of the hypothetical company "WindTech GmbH". Its financial information is fabricated and simplified for demonstration purposes. Vestas financial information is real. The process shows two common valuation methods: DCF and Multiples.

WindTech GmbH

Assumptions	Revenue CAGR	5.3%	Receivables%	8.7%	WACC	8.0%
	COGS%	65.7%	Inventory %	10.7%	Growth Rate	2.0%
	OpEx%	13.6%	Payables %	10.7%		

Year	Actual					Forecast					
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030

Income Statement

Revenue	81.0	88.0	98.0	93.0	105.0	110.6	116.5	122.7	129.2	136.1	143.4
COGS	55.0	57.3	59.7	65.6	67.4	72.7	76.6	80.6	84.9	89.5	94.2
Gross Profit	26.0	30.7	38.3	27.4	37.6	37.9	39.9	42.0	44.3	46.6	49.1
Opex (SG&A etc)	12.3	11.2	13.4	12.2	13.9	15.0	15.8	16.7	17.6	18.5	19.5
EBITDA	13.7	19.5	24.9	15.2	23.7	22.9	24.1	25.4	26.7	28.1	29.6
Depreciation	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0
EBIT	9.7	15.5	20.9	11.2	19.7	18.9	20.1	21.4	22.7	24.1	25.6
Net Interest	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0	-1.0
Pre-Tax Profit	8.7	14.5	19.9	10.2	18.7	17.9	19.1	20.4	21.7	23.1	24.6
Taxes (30%)	-2.6	-4.4	-6.0	-3.1	-5.6	-5.4	-5.7	-6.1	-6.5	-6.9	-7.4
Net Income	6.1	10.2	13.9	7.1	13.1	12.5	13.4	14.3	15.2	16.2	17.3

Balance Sheet

Assets											
Cash	8.1	18.1	31.7	39.3	47.3	60.3	73.2	87.1	100.7	116.3	130.9
Receivables	7.0	7.7	8.5	8.1	9.1	9.6	10.1	10.7	11.2	11.8	12.5
Inventory	5.9	6.1	6.4	7.0	7.2	7.8	8.2	8.6	9.1	9.6	10.1
PP&E (net)	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0
Total Assets	51.0	61.9	76.6	84.4	93.7	107.7	121.5	136.4	151.0	167.7	183.5
Liabilities & Equity											
Debt	8.0	8.5	9.0	9.0	5.0	6.0	6.0	6.2	5.2	5.2	3.2
Payables	5.9	6.1	6.4	7.0	7.2	7.8	8.2	8.6	9.1	9.6	10.1
Other Liab.	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
Equity	34.8	45.0	58.9	66.0	79.1	91.6	105.0	119.2	134.4	150.6	167.9
Total Liab+Eq.	50.7	61.6	76.3	84.0	93.3	107.4	121.2	136.0	150.7	167.4	183.1

Cashflow

Net Income	6.1	10.2	13.9	7.1	13.1	12.5	13.4	14.3	15.2	16.2	17.3
Depreciation	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0
Change in WC	-0.5	0.6	0.9	-0.4	1.0	0.5	0.5	0.5	0.6	0.6	0.6
CapEx	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0	-4.0
Debt inflow	1.0	0.5	0.5	0.0	-4.0	1.0	0.0	0.2	-1.0	0.0	-2.0
Net Cash Flow	7.6	10.0	13.6	7.6	8.0	13.0	12.8	13.9	13.6	15.6	14.6
Starting Cash	0.5	8.1	18.1	31.7	39.3	47.3	60.3	73.2	87.1	100.7	116.3
Ending Cash	8.1	18.1	31.7	39.3	47.3	60.3	73.2	87.1	100.7	116.3	130.9

Margins

Profitability											
Gross Margin	0.321	0.349	0.391	0.295	0.358	0.343	0.343	0.343	0.343	0.343	0.343
EBITDA Margin	0.169	0.222	0.254	0.163	0.226	0.207	0.207	0.207	0.207	0.207	0.207
EBIT Margin	0.120	0.176	0.213	0.120	0.188	0.171	0.172	0.174	0.176	0.177	0.179
Net Income Margin	0.075	0.115	0.142	0.077	0.125	0.113	0.115	0.116	0.118	0.119	0.120
Efficiency											
Asset Turnover	1.59	1.42	1.28	1.10	1.12	1.03	0.96	0.90	0.86	0.81	0.78
ROA	11.9%	16.4%	18.2%	8.5%	14.0%	11.6%	11.0%	10.5%	10.1%	9.7%	9.4%
ROE	17.5%	22.6%	23.7%	10.8%	16.5%	13.7%	12.7%	12.0%	11.3%	10.8%	10.3%
Leverage											
Leverage Ratio	0.23	0.19	0.15	0.14	0.06	0.07	0.06	0.05	0.04	0.03	0.02
FCF	6.59	9.54	13.06	7.58	12.05	12.02	12.85	13.72	14.64	15.60	16.62

KPIs

Revenue 2030 **143 M€** ↑
2025-2030 126 M€

EBITDA 2030 **21%** →
2025-2030 21%

Debt 2030 **3 M€** ↓
2025-2030 5 M€

Equity 2030 **168 M€** ↑
2025-2030 128 M€

FCF 2030 **17 M€** ↑
2025-2030 14 M€

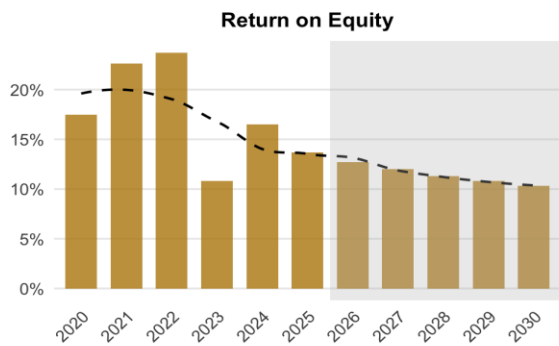
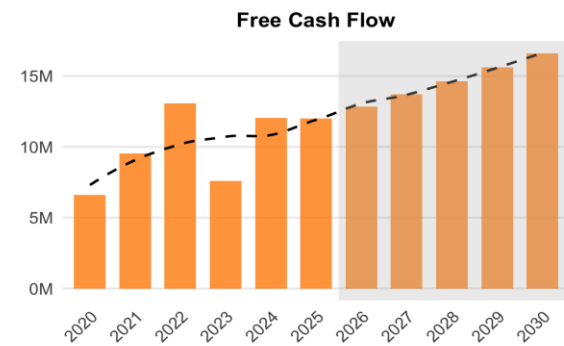
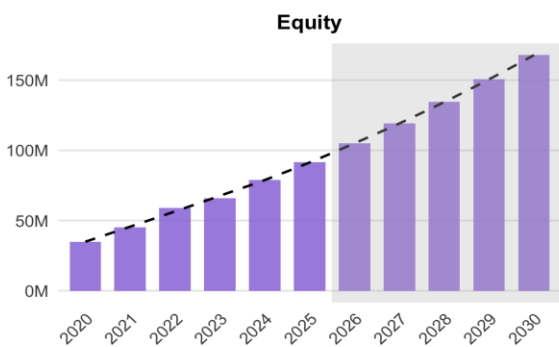
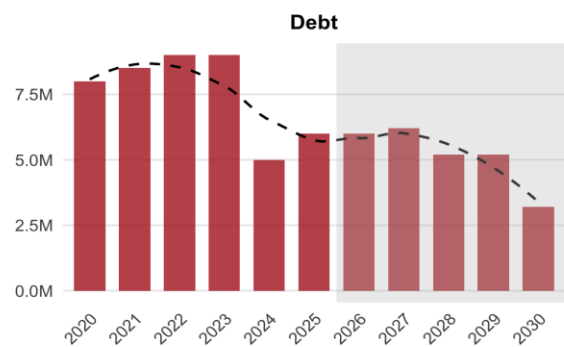
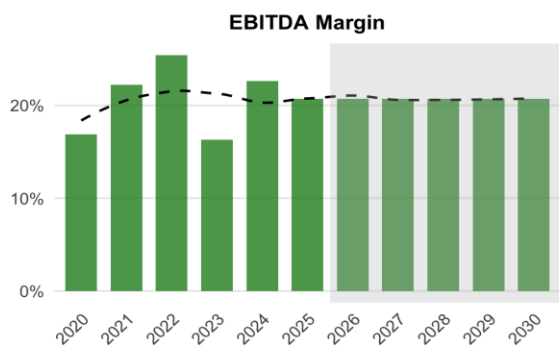
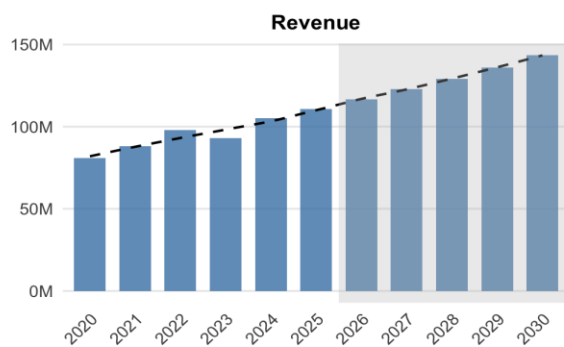
ROE 2030 **10%** ↓
2025-2030 12%

Health Check in 2030

EBITDA Margin > 15%

ROE > 10%

FCF > 10M



Valuation

(All values in Million €)

Assumptions	Revenue CAGR	5.3%	Receivables%	8.7%	WACC	8.0%
	COGS%	65.7%	Invenstory %	10.7%	Growth Rate	2.0%
	OpEx%	13.6%	Payables %	10.7%	FCF2023	16.622

Vestas	Market Cap	13.270	EV	12.724
	Total Debt	3.271	EV/EBITDA	11.201
	Cash	3.817		
	EBITDA	1.136		

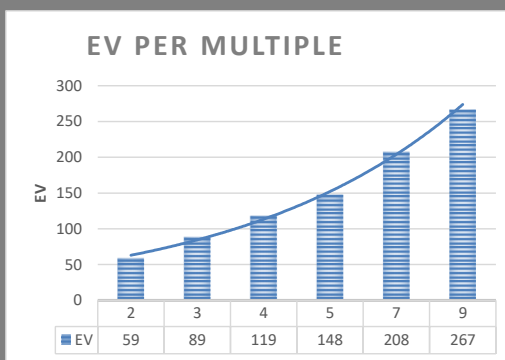
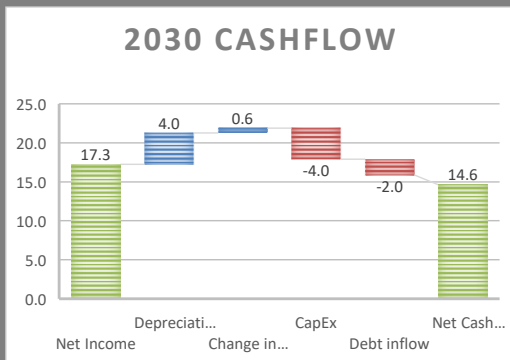
Valuation	DCF		Multiples	
	TV	283	EV	332
	NPV	65	EQV	460
	DTV	178		
	EV	243		
	Net Debt	-128		
	EQV	371		

Sensitivity	WACC	EV	TGR	EV	Multiple	EV
	6%	368	1.0%	216	2	59
	7%	293	1.5%	228	3	89
	8%	243	2.0%	243	4	119
	9%	207	2.5%	260	5	148
	10%	181	3.0%	281	7	208
	11%	160	3.5%	306	9	267

COMPARISON

DCF	WACC:	8.0%	TGR:	2.0%
	EV:	243		

Multiple	Multiple Value:	11.201
	EV:	332



WACC x TGR x EV

	5.0%	5.5%	6.0%	6.5%	7.0%	7.5%	8.0%	8.5%	9.0%	9.5%	10.0%
0.5%	349	313	283	259	238	221	205	192	180	170	160
1.0%	385	341	306	277	253	233	216	201	188	176	166
1.5%	431	376	334	299	271	248	228	212	197	184	173
2.0%	493	422	368	326	293	266	243	224	207	193	181
2.5%	580	482	412	360	319	287	260	238	219	203	189
3.0%	710	567	472	403	352	312	281	255	233	215	199
3.5%	927	694	554	461	395	345	306	275	249	228	210
4.0%	1362	906	679	542	451	386	337	299	269	244	224
4.5%	2664	1330	886	663	530	441	378	330	293	263	239